

INDIAN ECONOMY

LEVEL
II



TERMINOLOGY

MODULE - 9

- 97. ESCROW ACCOUNT
- 98. GOLDEN HANDSHAKE
- 99. FINANCIAL CLOSURE
- 100. ZERO SUM GAME

- 101. FOREIGN CURRENCY HEDGING
- 102. INSIDER TRADING
- 103. INVISIBLE HAND
- 104. COMPETITIVE ADVANTAGE

- 105. COMPARATIVE ADVANTAGE
- 106. SOCIAL COST
- 107. SOVEREIGN RISK
- 108. CONSPICUOUS CONSUMPTION



MODULE - 9**97****ESCROW ACCOUNT****98****GOLDEN HANDSHAKE****99****FINANCIAL CLOSURE****100****ZERO SUM GAME****101****FOREIGN CURRENCY HEDGING****102****INSIDER TRADING****103****INVISIBLE HAND****104****COMPETITIVE ADVANTAGE****105****COMPARATIVE ADVANTAGE****106****SOCIAL COST****107****SOVEREIGN RISK****108****CONSPICUOUS CONSUMPTION**

97

ESCROW ACCOUNT

- It is a third party account.
- It is a separate bank account to hold money, and certain obligations are to be fulfilled through that account.
- Recent Example:** Under HEFA, when money is made available to certain higher educational institutions, to facilitate the payment of principal amount, the institutions like IITs/NITs have to open separate Escrow accounts.



केनरा बैंक Canara Bank

भारत सरकार का उपक्रम

A Government of India Undertaking

 सिंडिकेट Syndicate

98

GOLDEN HANDSHAKE

A generous payment made by a company to its employees for quitting the job, much before their normal retirement.



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99

FINANCIAL CLOSURE

- Let us start with an example:
Expressway is being constructed between cities Mumbai and Delhi.
- Firm X has taken the contract for a stretch at Rs. 10,000 Cr.
- The firm will have tie-up with banks or financial institutions for funds.
- The stage, when all the conditions for financing agreement are fulfilled, prior to the initial availability of funds is known as Financial Closure.



LARSEN & TOUBRO



100

ZERO SUM GAME

- This is the situation, when the gains made by winners in an economic transaction is equal to the losses suffered by the losers.
- However, most economic transactions are positive sum games.



101

FOREIGN CURRENCY HEDGING

- External Commercial Borrowings are **loans** taken from **other countries**.
- They may be in foreign currency denominations, like **dollar**. Alternatively, they may be in **rupee denominations** (masala bonds).
- When the corporates **borrow** from **abroad** in foreign currencies, there is a risk of **currency volatility**.
- To reduce the impact of **currency volatility** on the loans taken by the corporates, they go for **forward contracts** in the currency to neutralize the risk. This is nothing but **Hedging**.



Dollar-denominated ECBs, which require hedging



Rupee-denominated ECBs (Masala Bonds), which do not require hedging, from the borrowers perspective

102

INSIDER TRADING

- This is the stock market terminology.
- Insider Trading is the transactions of shares by the persons, who have access to confidential information within company and not yet made public.
- Here, due to their position, they try to take advantage of selling / buying the shares. This is illegal all over the world.



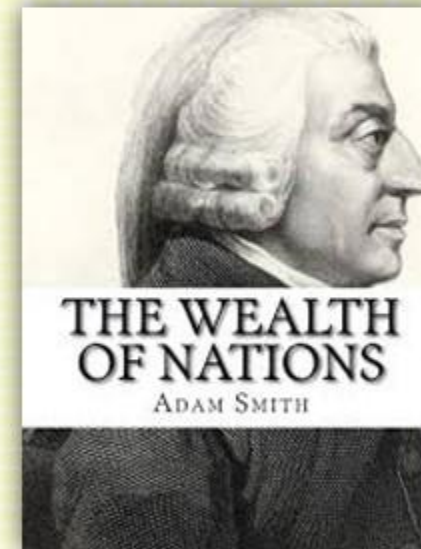
103

INVISIBLE HAND

- It is coined by Adam Smith in his 'The Wealth of Nations'.
- The word is related to pricing system / market mechanism.
- The premise is that the market system evolves on its own with the decisions of the buyers and sellers, without any outside conscious involvement.
- This maximises individual welfare, as per Adam Smith.



ADAM SMITH



104

COMPETITIVE ADVANTAGE

- It refers to a company / economy / country / individual's ability to provide a stronger value to consumers as compared with its competitors.
- In order to assume competitive advantage over others in the same field or area ...
 - The company should be the low cost provider of goods and services.
 - It should offer superior goods or services than its competitors.
 - It should focus on a particular segment of the consumer pool.



105

COMPARATIVE ADVANTAGE

- It is a fundamental principle of the theory of international trade. It is the superiority of a country to produce a particular type of goods better.
- India has comparative advantage in Software, Pharmaceuticals, Automobiles etc., whereas China has comparative advantage in several sectors of the Manufacturing.



106

SOCIAL COST

- The cost borne by the society.
- If a tannery is established by a company in Kanpur and if it pollutes the surface water and groundwater. It results in substantial Social Cost.
- If a chemical factory is established nearer to the residential areas and if it pollutes the environment and when significant people are suffering from cancer, it is a Social Cost.



107

SOVEREIGN RISK

- It is the risk of a Government defaulting on its debt.
- This also involves the risk of a Government defaulting on the loan guaranteed by it.



108

CONSPICUOUS CONSUMPTION

- Consumption for the purpose of showing off ostentatiousness is known as Conspicuous Consumption.
- It goes much beyond the utility aspect.
- Examples:** High-end Swiss watches, High-end cars etc.



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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588